

Business Explorations

Merchant Profile 1

Business Segment

Electrical wholesale distribution business dealing in:

- Electrical wires
- Cables
- Switches
- PVC pipes
- Electrical accessories

Customer Base

- Local electrical retailers
- Electricians
- Contractors
- Construction businesses

First Observations of Daily Operations

- Most orders are received through phone calls and WhatsApp.
 - A large number of customers purchase products on credit.
 - Credit records are mostly maintained manually in khata books or Excel sheets.
 - Shop owners frequently need to follow up for pending payments.
 - Due dates are often not tracked properly.
 - Cash flow becomes uncertain because of delayed payments.
 - Customer payment behavior depends heavily on trust and past relationships.
 - Business decisions regarding giving credit are based mostly on experience rather than data.
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Problem Shortlist

Problem 1: Delayed Customer Payments

Observation

Many customers purchase products on credit and delay payments beyond the agreed due date.

Impact

- Creates cash flow issues
- Reduces working capital availability
- Affects inventory purchasing capacity
- Increases financial uncertainty

Real Conversation Insight

The business owner often needs to manually call customers multiple times for payment reminders, which consumes time and effort.

Problem 2: Manual Khata and Credit Tracking

Observation

Customer credit transactions are maintained manually using notebooks or spreadsheets.

Impact

- Records can become disorganized
- Payment history is difficult to analyze
- Human errors can occur
- Tracking outstanding balances becomes time-consuming

Real Conversation Insight

Employees spend significant time checking old records to verify pending amounts and payment history.

Problem 3: No Risk Assessment for Customers

Observation

Credit is usually provided based on personal trust and long-term relationships rather than analytical evaluation.

Impact

- High-risk customers may continue receiving credit

- Chances of payment defaults increase
- Business owners cannot identify risky customers early

Real Conversation Insight

There is no systematic method to identify which customers regularly delay payments or may become financially risky.

Selected Problem for Project

Smart Credit Management & Payment Reminder System

Proposed Solution

A digital application that:

- Maintains customer credit ledgers digitally
- Tracks pending payments and due dates
- Sends automated payment reminders
- Generates monthly outstanding reports
- Provides customer risk scores based on payment behavior

Future Scope

The system can later integrate machine learning models to:

- Predict late-paying customers
- Identify high-risk customers
- Assist in better credit decision-making

Expected Benefits

- Improved cash flow management
- Reduced manual workload
- Faster payment collection
- Better customer credit monitoring
- Data-driven business decisions